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# Norway – GBIF/SBIF (Nordic Crisis 1991)<sup>1</sup>

*Priya Sankar*<sup>2</sup>

Yale Program on Financial Stability Case Study  
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## **Abstract**

Privately owned banks had funded the Savings Bank Guarantee Fund (SBGF) and Commercial Bank Guarantee Fund (CBGF) between 1921-1938 to provide guarantees and capital injections to struggling banks. Bank legislation in 1961 made participation in such guarantee funds compulsory for all Norwegian banks, and they were reorganized according to that law. However, after banks began to struggle in the late 1980s, the two funds quickly ran out of resources. The Norwegian Parliament (Storting) created the Government Bank Insurance Fund (GBIF) in March 1991 to loan money to the two funds. They both quickly incurred unsustainable amounts of debt to the government. In November 1991, the Storting gave the GBIF the power to inject capital directly into banks through subordinated debt, common and preferred equity, and primary capital certificates, with the Storting allocating NOK 5 billion (\$590 million) in initial funding to the GBIF. At the same time, it established the Government Bank Investment Fund (Norwegian Statens Bankinvesteringsfond, SBIF) to provide liquidity to struggling but solvent banks. From 1991-93, the GBIF and SBIF bought stakes in many banks, including three of the four largest: Fokus Bank, Den norske Bank, and Christiania Bank. In 2002, the GBIF transferred to the SBIF its last shares in Den norske Bank and ceased operating. In 2004, the SBIF transferred to the Norwegian Ministry of Finance and Industry its 34% stake in DnB NOR, the entity that resulted from the merger of Den norske Bank and the Union Bank of Norway, and ceased operating.

**Keywords:** Capital Injections, CBGF, GBIF, Norway, Nordic Financial Crisis, SBIF, SBGF

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<sup>1</sup> This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering the responses to the global financial crisis that pertain to broad-based capital injection programs. Cases are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

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# Norway – GBIF/SBIF (Nordic Crisis 1991)

## At a Glance

The Norwegian banking crisis emerged in the late 1980s following rapid financial deregulation, excessive bank lending, and a drop in oil prices. The banking industry first addressed the crisis in 1988-90 through its own self-funded Savings Bank Guarantee Fund (SBGF) and Commercial Bank Guarantee Fund (CBGF), but both quickly ran out of money. Norway established the Government Bank Insurance Fund (GBIF) in March 1991 to extend government loans to the two private bank guarantee funds. The two funds used these loans to inject capital into Norwegian banks while guaranteeing their liabilities, but their debt burdens mounted, and they could not meet the need for capital.

In November 1991, the Norwegian Parliament (called the “Storting”) allowed the GBIF to make direct capital injections to distressed banks and established the Government Bank Investment Fund (SBIF) to maintain state ownership of banks in the longer term. The Storting allocated NOK 13.5 billion to the GBIF. However, the GBIF made 17 capital injections totaling NOK 16.2 billion in the years 1991-93 as it received interest on part of its capital, the CBGF and SBGF made payments on their loans, and the GBIF sold shares to the SBIF. The NOK 16.2 billion includes NOK 13.1 billion of direct capital injections by the GBIF into banks, most of which went to Norway’s three largest banks: Fokus Bank, Christiania Bank, and Den norske Bank. It also includes GBIF loans of NOK 554 million to the SBGF to inject capital into savings banks and NOK 2.5 billion to the CBGF to inject capital into commercial banks. In addition to the GBIF capital injections, the Norwegian government also allocated NOK 1 billion to the SBGF and introduced a program of subsidized, low-interest central bank deposits, which cost the government about NOK 2.7 billion.

### Summary of Key Terms

**Purpose:** The GBIF was established as a short-term facility to manage government ownership in banks initially through loans to the two industry guarantee funds for savings and commercial banks respectively, and later through capital injections.

**Announcement Date**      January 25, 1991

**Operational Date**      March 15, 1991

**End of Issuance Window**      N/A

**Legal Authority**      Act on Government Bank Insurance Fund January 1991

**Peak Utilization**      NOK 16.2 billion (\$1.9 billion)<sup>3</sup>

**Participants**      Fokus Bank, Christiania Bank, Den norske Bank, others

**Administrators**      King, Norges Bank, Banking Insurance and Securities Commission

<sup>3</sup> Per Yahoo Finance, \$1 = NOK 8.56 on June 29, 2021

After 1993, no more injections were required. The GBIF slowly sold its shares in banks while receiving loan repayments. In 2002, it transferred its remaining holdings to the SBIF and closed. In 2004, the SBIF transferred its holding of DnB NOR, the result of the merger of Den norske bank and the Union Bank of Norway, to the Ministry of Trade and Finance and closed.

### **Summary Evaluation**

International observers generally view the government's use of capital injections through the GBIF and SBIF as a success that reduced the cost of the crisis, created normal conditions for borrowers, and prevented the spread of financial problems and bank failures. However, some observers suggested the government faced a conflict of interest in its role as both a regulator and a shareholder. Some also criticized the government's unilateral decision to write down the value of its shares in Fokus Bank and Christiania Bank.

| Norway Context 1991–1995                                                                                  |                                                |
|-----------------------------------------------------------------------------------------------------------|------------------------------------------------|
| <b>GDP<br/>(SAAR, Nominal GDP in LCU converted to USD)</b>                                                | 119,700,000,000 USD 1991                       |
| <b>GDP per capita<br/>(SAAR, Nominal GDP in LCU converted to USD)</b>                                     | \$45,858 in 1991                               |
| <b>Sovereign credit rating (5-year senior debt)</b>                                                       | Not available                                  |
| <b>Exchange Rate (to USD)</b>                                                                             | 6.49 NOK to USD                                |
| <b>Size of banking system</b>                                                                             | Not available                                  |
| <b>Size of banking system as a percentage of GDP</b>                                                      | 1991 Bank deposits are 52.6% of GDP            |
| <b>Size of banking system as a percentage of financial system</b>                                         | Not available                                  |
| <b>Five-bank concentration of banking system</b>                                                          | Five-bank asset concentration of 12.8% in 1998 |
| <b>Foreign involvement in banking system</b>                                                              | 5% in 1995                                     |
| <b>Government ownership of banking system</b>                                                             | 32% in 1995                                    |
| <b>Existence of deposit insurance</b>                                                                     | Not available                                  |
| <i>Sources: IMF International Financial Statistics, World Bank Global Financial Development Database.</i> |                                                |

# I. Overview

## Background

Norway's financial deregulation in the 1980s ignited a rapid credit expansion. The concurrent drop in oil prices led to a fall in asset values, and many weak firms went bankrupt. This exposed banks to losses, and bank lending declined. The Norwegian banking crisis began in 1988 when Sunnmørsbanken declared insolvency, the first bank failure in the country since 1923. In the next four years, 13 banks that represented 95% of the total commercial bank assets in Norway became under-capitalized or failed (Ongena 2003).

For many years, the Norwegian government had taken a hands-off approach to the banking sector. It had no official deposit insurance to protect depositors in the event of a bank failure. Banks argued they could handle any bank failures among themselves, with the Norges Bank, the nation's central bank, acting as a lender of last resort (Moe 2004).

The banking industry had its own deposit insurance programs, the Commercial Bank Guarantee Fund (CBGF) and the Savings Bank Guarantee Fund (SBGF). These guarantee funds could recapitalize a failed bank or provide guarantees and financial support to facilitate a takeover, if those options were more cost-effective than liquidating the bank and paying the depositors (Bergo 2003). Membership was compulsory and banks paid membership fees. The two bank funds were reorganized in accordance with the Norwegian bank legislation of 1961, and their activities became legally formalized. In addition, the Bank of Norway and the Norwegian bank supervisor took more active roles on the boards of the two guarantee funds in the 1980s. By 1988, the CBGF had NOK 4.1 billion of capital (2.4% of member banks' deposits from nonbanks). The SBGF had NOK 1.4 billion of capital, with member banks providing guarantees of NOK 1.6 billion from their own funds. Savings banks increased their guarantees through the SBGF by NOK 700 million in 1989. Both funds had the Banking, Insurance, and Securities Commission (BISC) and Norges Bank represented on their boards, along with five members elected by member banks (Moe 2004).

At the onset of the crisis, the CBGF injected \$65 million (NOK 1.3 billion) into impaired banks and facilitated their mergers with healthier banks. These capital injections appeared to stabilize the banking industry by spring 1990 (Ongena 2003).

However, in January 1991, Norway's three largest commercial banks announced losses (Ongena 2003). Funds previously available through international markets were no longer available or were prohibitively expensive. Recapitalizing Fokus bank, Norway's third-largest commercial bank, depleted nearly all of CBGF's remaining capital by February 1991. The banking system was in danger of collapsing without further aid. At the peak of the crisis in 1991, bank loan losses equaled 2.8% of GDP, while 9% of outstanding loans were non-performing (Bergo 2003). The CBGF and SBGF were effectively depleted, and they could no longer insure deposits after the situation deteriorated at the largest banks (Moe 2004).

## Program Description

In January 1991, the government announced that it would set up a Government Bank Insurance Fund (GBIF). A concrete proposal was sent to the Norwegian Parliament (called the "Storting") on January 25. The Storting established the GBIF on March 5, 1991, allocating NOK 5 billion to fund it. The Storting gave the GBIF a specific mandate: to lend public money to the two private bank deposit guarantee funds, CBGF and SBGF, to recapitalize failing banks (Bergo 2003). The CBGF used the borrowed funds to complete the bailout of Fokus Bank and to begin injecting capital into Christiania Bank (Ongena 2003). Shortly thereafter, Den norske bank, the largest Norwegian commercial bank, announced its need for capital injections. It became clear that the GBIF's funding would not be sufficient to recapitalize the three banks.

By late 1991, the two private bank deposit insurance funds had borrowed as much as they could (Milne 2009). After six months of debate, the Norwegian government made a few key decisions in November 1991. The Storting extended the mandate of the GBIF, allowing it to inject Tier 1 capital into distressed banks. It also responded to the worsening crisis by adding NOK 6 billion to the GBIF, establishing a new Government Bank Investment Fund (SBIF) with an initial 4.5 billion NOK, and empowering the government to order a bank to write down its share capital, forcing losses on shareholders, if less than 25% of its share capital remained (Ongena 2003; Drees 1998). The GBIF's capital was regarded as a fiscal expenditure, not an investment (Bergo 2005).

The government initially established the GBIF as a short-term facility. It developed the SBIF to manage state investments in the banking sector over the long term (Drees 1998). The SBIF could make its investment decisions with a commercial-long-term perspective (Munthe 1992). Even banks that were not in crisis had trouble raising capital due to investors' lack of confidence in the banking sector, so the SBIF's role was to invest alongside private investors in banks' capital issues. After the crisis, in 1995, the GBIF became more of a contingency body, though it was still an owner of Norwegian bank shares (Moe 2004). The SBIF purchased the GBIF's stakes in the two largest banks, Den norske Bank and Christiania bank. The SBIF became a vehicle to manage government ownership in those banks. Figures 1 and 2 show the amount and timing of government involvement in these three largest banks.

## Outcomes

Before the GBIF made capital injections, it sought to attract private investors in the weak banks (Bergo 2003). These efforts failed, and the government became the "owner of last resort." The Norwegian government also chose not to create a bad bank, as the ratio of nonperforming loans at banks was not extremely high, and they wished to limit the exposure of taxpayers to bank losses. The GBIF could make capital injections through preferred shares, common shares, subordinated debt, and primary capital certificates (equity instruments for savings banks) (Moe 2004).



By late 1991, the GBIF completely took over Fokus and Christiania banks and had a 55% stake in Den norske Bank (Ongena 2003). The Norwegian government continued to hold the biggest stake in Den norske bank in 2003. In 1992, 54% of Norwegian bank assets were under GBIF control, as it owned three of the four largest Norwegian banks (Den norske, Christiania, and Fokus) (Milne 2009). The discounted value of Norwegian crisis resolution gross fiscal costs was about 2.9% of Norway's 1993 GDP. Adjusting for the value of government-owned bank shares, the net fiscal costs were approximately 0.8% of GDP. This included funding for the GBIF's capital injection mechanism, guarantees provided by the GBIF and SBIF, and funding allocations made to the CBGF and SBGF (Drees 1998).

By 2003, the only state ownership of Norwegian banks remaining was the SBIF's stake in Den norske Bank, which had declined to 47.8%. Den norske Bank was subsequently merged with Union Bank of Norway, creating DnB NOR. As a result, SBIF's stake in the merged bank was reduced to 28.1%. However, the parliament decided to increase the government's shareholding to 34% through purchases in the market in 2004. This was to maintain state ownership of the new entity and to prevent its sale to foreign entities, keeping its management in the Nordic region (Storting 2003). The SBIF was subsequently dissolved in 2004, and its holding in DnB NOR was transferred to the Ministry of Trade and Industry, which handles most of the government ownership in corporations (Moe 2004).

During the crisis, the SBGF had purchased primary capital certificates in three savings banks with its own funds and GBIF loans (Moe 2004). In spring 1994, it sold these above par and repaid its GBIF debt with NOK 2 billion outstanding, eliminating all obligations the savings bank sector had to the GBIF.

**Figure 1: Capital Injections from the CBGF and the GBIF to the Largest Commercial Banks in 1991-1993 in Millions of NOK**

|                                                            | Den norske<br>Bank | Christiania<br>Bank | Fokus<br>Bank      |
|------------------------------------------------------------|--------------------|---------------------|--------------------|
| Preference capital<br>from CBGF                            | 939 <sup>1</sup>   | 2 724 <sup>1</sup>  | 2 150 <sup>1</sup> |
| Preference capital<br>from GBIF                            | 4 750 <sup>2</sup> |                     |                    |
| Other injections<br>from GBIF                              |                    | 7 040 <sup>3</sup>  | 1 295 <sup>4</sup> |
| Total                                                      | 5 689 <sup>5</sup> | 9 764               | 3 445 <sup>6</sup> |
| Per cent of bank's<br>balance sheet<br>at 31 December 1990 | 2,9                | 7,0                 | 7,4                |
| Book value of equity at<br>31 December 1993                | 7299 <sup>7</sup>  | 5377 <sup>8</sup>   | 1214               |

1) Written down to zero. In Christiania Bank and Fokus Bank partly financed through support loans from the GBIF.

2) Of which NOK 1 250m written down to zero. Remaining 3 500m converted to shares.

3) Of which premium for shares (to cover losses) NOK 2 390m and further write-down of shares NOK 1 980m.

4) Of this amount NOK 1 075m share capital, written down by 602m.

5) In addition, the bank received NOK 2 620m through transactions in connection with the take-over of Realkreditt and the issue of preference shares largely guaranteed by the Government Bank Investment Fund in the spring of 1992.

6) In addition, the bank received about NOK 37m from the CBGF and shareholders in Samvirkebanken in connection with the merger with Samvirkebanken.

7) Including NOK 3500m as preference capital, which the GBIF by the end of the year had demanded should be converted to shares.

8) The bank increased its equity by a net amount of NOK 2039m by issuing shares in the market.

Source: Moe 2004.

**Figure 2: Government Ownership in Norwegian Banks**

|                    | Government ownership. Per cent <sup>1)</sup> |                    |       |                    |      |                          |                 |                     |                    |                     |      |
|--------------------|----------------------------------------------|--------------------|-------|--------------------|------|--------------------------|-----------------|---------------------|--------------------|---------------------|------|
|                    | GBIF                                         |                    |       | SBIF               |      |                          |                 |                     |                    | Total <sup>2)</sup> |      |
| End of year        | DnB                                          | CBK                | Fokus | DnB                | CBK  | Bergens<br>Skillingsbank | Oslo-<br>banken | Samvirke-<br>banken | Sparebanken<br>NOR | DnB                 | CBK  |
| 1991               | 0                                            | 100                | 100   | 0                  | 0    | 0                        | 19.6            | 32.3                | 0                  | 0                   | 100  |
| 1992               | 0                                            | 97.7               | 100   | 55.6               | 0    | 0                        | 18.5            | 32.3                | 0                  | 55.6                | 97.7 |
| 1993               | 0                                            | 27.3               | 97.9  | 69.0               | 41.6 | 13.9                     | 0 <sup>3)</sup> | 0                   | 48.0 <sup>4)</sup> | 69.0                | 68.9 |
| 1994               | 46.4 <sup>5)</sup>                           | 18.8 <sup>6)</sup> | 97.9  | 25.6               | 50.1 | 13.9                     | 0               | 0                   | 43.7               | 72.0                | 68.9 |
| 1995               | 46.4                                         | 0 <sup>7)</sup>    | 0     | 25.6               | 51.1 | 13.9                     | 0               | 0                   | 40.6               | 72.0                | 51.1 |
| 1996               | 16.2 <sup>7)</sup>                           | 0                  | 0     | 35.9               | 51.0 | 0                        | 0               | 0                   | 0                  | 52.2                | 51.0 |
| 1997               | 16.2                                         | 0                  | 0     | 35.9               | 51.0 | 0                        | 0               | 0                   | 0                  | 52.2                | 51.0 |
| 1998               | 16.2                                         | 0                  | 0     | 35.9               | 51.0 | 0                        | 0               | 0                   | 0                  | 52.2                | 51.0 |
| 1999               | 13.4 <sup>8)</sup>                           | 0                  | 0     | 29.5 <sup>8)</sup> | 34.6 | 0                        | 0               | 0                   | 0                  | 60.6 <sup>8)</sup>  | 34.6 |
| 2000               | 13.4                                         | 0                  | 0     | 47.3 <sup>8)</sup> | 0    | 0                        | 0               | 0                   | 0                  | 60.6                | 0    |
| 2001               | 0                                            | 0                  | 0     | 47.3               | 0    | 0                        | 0               | 0                   | 0                  | 47.3                | 0    |
| 2002               | 0                                            | 0                  | 0     | 47.8               | 0    | 0                        | 0               | 0                   | 0                  | 47.8                | 0    |
| 2003 <sup>9)</sup> | 0                                            | 0                  | 0     | 47.8               | 0    | 0                        | 0               | 0                   | 0                  | 47.8                | 0    |

This table covers ownership only. This includes shares (including preference shares) and, in the case of Sparebanken NOR, primary capital certificates. Non-voting preference capital is not included. Not in the table: GBIF owned Oslobanken 1993-2000, cf 3).

2) The only two banks where both funds had shares at the same time are DnB and CBK. Hence, only these two are mentioned here.

3) All existing shares in Oslobanken were written down to zero as a condition for GBIF's injection of new capital. From that time the GBIF was the sole owner of Oslobanken until it was finally liquidated in November 2000.

4) Conversion of previously injected, convertible, subordinated debt.

5) GBIF had in 1991 and 1992 injected convertible preference capital, of which NOK 3.5 bn were intact after write-downs. Conversion of the total amount increased the GBIF's share in 1994. The share initially became even higher, but the combined transaction where new shares were issued and some of the shares held by the GBIF were sold, brought GBIF's share down to 46.4 per cent.

6) Reduction due to sale to the SBIF.

7) Partly sale to the SBIF.

8) DnB merged with the state bank Postbanken in 1999. The shares the Ministry of Finance received were transferred to the SBIF in 2000. The reduction in two funds' stake in 1999 was solely due to the increased number of shares.

9) As of November 20, 2003.

Sources: Annual reports from the GBIF and the SBIF.

Source: Moe 2004.

**Figure 3: Present Value as of December 31, 2001**

| In NOK 1000                            | Outgoing<br>payments | Incoming<br>payments | Net              |
|----------------------------------------|----------------------|----------------------|------------------|
| DnB                                    | -20 889 524          | 31 544 867           | 10 655 343       |
| Kreditkassen                           | -17 355 559          | 19 245 837           | 1 890 278        |
| Fokus Bank                             | -2 578 393           | 2 590 308            | 11 916           |
| Oslobanken                             | -253 371             | 2 476                | -250 895         |
| Sparebanken NOR                        | -2 050 065           | 3 022 882            | 972 817          |
| Other banks                            | -346 162             | 427 717              | 81 555           |
| Support loans to<br>SBGF and CBGF      | -90 941              | 0                    | -90 941          |
| Adm. costs GBIF<br>and SBIF            | -101 009             | 0                    | -101 009         |
| Support dir. from<br>the state to SBGF | -1 886 240           | 0                    | -1 886 240       |
| Special term deposits                  | -3 820 339           | 0                    | -3 820 339       |
| Sparebanken Nord-Norge                 | -1 511 027           | 0                    | -1 511 027       |
| Norion Bank                            | -218 039             | 0                    | -218 039         |
| <b>Total</b>                           | <b>-51 100 668</b>   | <b>56 834 088</b>    | <b>5 733 419</b> |

SBGF: Savings Banks' Guarantee Fund, CBGF: Commercial Banks' Guarantee Fund

Source: Moe 2004.

In total, the government support amounted to about NOK 20.7 billion, approximately 3% of the banking sector assets in 1990. The CBGF disbursed approximately NOK 4.7 billion of its own funds, provided by banks, while the SBGF disbursed about NOK 3.2 billion. The GBIF injected NOK 16.2 billion in 17 injections, including NOK 554 million to the SBGF in loans, NOK 2.5 billion to the CBGF in loans, and NOK 13.1 billion in direct injections to commercial banks (Moe 2004).

Ex post analyses have concluded that Norwegian taxpayers actually made a profit off of the nationalized banks after they were reprivatized over the late 1990s and early 2000s. According to one source, while the gross fiscal cost of bank support was equivalent to 3.4% of Norway's GDP<sup>4</sup>, the net cost was -0.4% (Milne 2009). The share prices of the banks increased while they were under government control (Honkapohja 2009).

Moe (2004) conducted another analysis, commissioned by the Norwegian central bank, Norges Bank. He calculated present values of the government's capital and other investments in Norwegian banks during the crisis. He included investments by the GBIF, SBIF, and Norges Bank (Moe 2004). He made his calculations by discounting the payment flows, which all occurred in the 1990s, forward to 2001. Discounting forward makes them higher than they were on the payment date. The value of ownership investments in banks are recorded as incoming payments or positive values in this analysis. As shown in Figure

<sup>4</sup> As a present value percentage of Norway's 2001 GDP.

3, the total present value at the end of 2001 was NOK 5.7 billion, meaning that the government recorded that much in commercial return greater than it would have achieved with other investments of comparable risk.

## II. Key Design Decisions

- 1. Part of a Package: The Government Bank Insurance Fund (GBIF) was not part of a package, but it had many functions, and was implemented alongside several other policies to address the financial crisis and worked in tandem with the Government Bank Investment Fund (SBIF) to make capital injections.**

The GBIF was not explicitly part of a package, although the Norwegian government did pursue other policies to address the financial crisis (Moe 2004). These included loans from Norges Bank at below-market interest rates, which amounted to about 10% of banks' funding in late 1991; a Storting grant to the Savings Bank Guarantee Fund (SBGF); and a 75% reduction of banks' annual premiums to their respective guarantee funds.

On March 5, 1991, the Storting established the Government Bank Insurance Fund (GBIF), allocating NOK 5 billion to fund it. The Storting gave the GBIF a specific mandate: to lend public money to the two private bank deposit guarantee funds, CBGF and SBGF, to recapitalize failing banks (Bergo 2003). The CBGF used the borrowed funds to complete the bailout of Fokus Bank and to begin injecting capital into Christiania Bank (Ongena 2003). Shortly thereafter, Den norske bank, the largest Norwegian commercial bank, announced its own need for capital injections. It became clear that the GBIF's funding would not be sufficient to recapitalize the three banks.

In late 1991, the Storting took action to strengthen the banks' finances (Haare 2016). The measures included an expansion of the GBIF by NOK 6 billion; the establishment of the Government Bank Investment Fund (SBIF) with NOK 4.5 billion; subsidized, low-interest deposits from Norges Bank; reduced premium payments that the banks were required to pay the two bank guarantee funds; an appropriation of NOK 1 billion to the SBGF; and reduced liquidity requirements for banks. Most importantly, it allowed the GBIF to make direct capital injections in banks, rather than just loans to the two private bank guarantee funds.

The GBIF was established as a short-term facility to manage government ownership in banks, while the SBIF was established to manage long-term state investments in the banking sector on commercial principles, rather than purely for financial stability purposes (Drees 1998, Munthe 1992). The SBIF worked with private investors to provide capital to banks that were not in crisis to help overcome the lack of confidence in the markets (Moe 2004). After 1995, the GBIF became more of a contingency body and the SBIF managed state ownership in the banking industry.

- 2. Legal Authority: The Norwegian Parliament, or “Storting,” established GBIF as a temporary facility to combat the financial crisis by providing loans to private bank guarantee funds. Later, it established the SBIF as a more permanent facility to manage government ownership in individual banks and allowed the GBIF to make direct capital injections (Storting 1991a, Storting 1991b).**

The GBIF was a temporary facility that was intended to provide loans to the Commercial and Savings Bank Guarantee Funds, so that they in turn could capitalize distressed banks (Drees 1998). The Norwegian government planned to wind the GBIF down by 2000 and transfer the shares it held to the SBIF. The SBIF was established as an indefinite facility to manage long-term state investments in banks. The Norwegian government used the SBIF's interest in Norway's two largest commercial banks to ensure that they focused on financing Norwegian industries and that they would not lend imprudently.

The Storting initially proposed establishing the GBIF on January 25, 1991 and established it on March 15, 1991. The Storting allowed the GBIF to make direct capital injections on November 29, 1991 (Moe 2004). This allowed the GBIF to purchase shares, primary capital certificates,<sup>5</sup> or other equity capital instruments in Norwegian banks that could not raise private capital. This mechanism would result in GBIF's owning 100% of the shares in banks that had lost all their capital.

The Government Bank Investment Fund (SBIF) was established in November 1991 with NOK 4.5 billion (Drees 1998). The SBIF was intended to make capital injections on commercial principles and help banks that were not in crisis raise capital when there was a general lack of confidence in the markets (Moe 2004). It was designed to participate alongside private investors in bank capital instruments. During the same time, Norway made amendments to the Community Banking Act that allowed the government to write down a bank's share capital to zero, forcing losses on shareholders, if less than 25% of its share capital remained.

### ***The Relationship Between the GBIF and the SBIF***

Initially in 1991, when the SBIF was established and the GBIF was granted permission to make capital injections, it was not clear what the relationship between the two institutions would be (Moe 2004). A 1992 document maintained that the GBIF's equity holdings were in service of crisis management while the SBIF's holdings were in an investor role alongside private owners. The GBIF provided capital support to struggling banks during the crisis, making sure to impose requirements including cost cutting and balance sheet reductions that helped maintain stability. The GBIF's purchases of shares and primary capital certificates granted it varying degrees of ownership in different banks, but it generally avoided directly intervening in bank operations, preferring to exert influence as a contracting party.

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<sup>5</sup> A primary capital certificate was the equity instrument of savings banks. Certificate holders had somewhat limited rights compared to shareholders of commercial banks.

**3. Governance: The GBIF was governed by a board appointed by the central bank, the supervisory agency, and the Norwegian Government.**

The GBIF was governed by a board of experts that made its decisions, carrying out operations at a distance from political authorities. The three-member board was appointed by the Government and supplemented by two non-voting representatives from Norges Bank and the Norwegian financial supervisor under the Ministry of Finance, the BISC (Banking, Insurance, and Securities Commission), with a secretariat provided by Norges Bank (Moe 2004, Storting 1991a). However, it maintained a close relationship with Norwegian financial supervisors and Norges Bank, the latter of which also played a role in Norway's financial stability infrastructure (Bergo 2003). Norges Bank was the lender of last resort for recapitalized banks, and a source of liquidity support to sound financial institutions, though banks did not have to resort to its provisions as they generally kept their funding.

**4. Funding Sources: The Storting initially funded the GBIF with NOK 5 billion in January 1991. It later increased the GBIF's funding by NOK 6 billion and funded SBIF with NOK 4.5 billion in November 1991.**

The GBIF was initially funded with 5 billion NOK, later increased with an additional 6 billion NOK in November 1991, when the Storting allowed it to make direct capital injections in banks (Andersen 2014; Drees 1998). The SBIF was funded by 4.5 NOK to invest in banks alongside private investors, eventually disposing of its shares. In total, the Storting appropriated NOK 13.5 billion to the GBIF (Moe 2004).

**5. The CBGF and SBGF made capital injections primarily with the GBIF's support after 1991, but maintained guarantees in many affected banks.**

Prior to the establishment of the GBIF, these guarantee funds could recapitalize a failed bank or provide guarantees and financial support to facilitate a takeover, if those options were more cost-effective than liquidating the bank and paying the depositors (Bergo 2003). Membership was compulsory and banks paid membership fees. By 1988, the CBGF had NOK 4.1 billion of capital (2.4% of member banks' deposits from nonbanks). The SBGF had NOK 1.4 billion of capital, with member banks providing guarantees of NOK 1.6 billion from their own funds. Savings banks increased their guarantees through the SBGF by NOK 700 million in 1989. Both funds had the Banking, Insurance, and Securities Commission (BISC) and Norges Bank represented on their boards, along with five members elected by member banks (Moe 2004). At the onset of the crisis, the CBGF injected \$65 million (NOK 1.3 billion) into impaired banks and facilitated their mergers with healthier banks. These capital injections appeared to stabilize the banking industry by spring 1990 (Ongena 2003).

However, in January 1991, Norway's three largest commercial banks announced losses (Ongena 2003). Funds previously available through international markets were no longer available or were prohibitively expensive. Recapitalizing Fokus bank, Norway's third-largest commercial bank, depleted nearly all of CBGF's remaining capital by February 1991. The banking system was in danger of collapsing without further aid. At the peak of the

crisis in 1991, bank loan losses equaled 2.8% of GDP, while 9% of outstanding loans were non-performing (Bergo 2003). The CBGF and SBGF were effectively depleted, and they could no longer insure deposits after the situation deteriorated at the largest banks (Moe 2004).

After the GBIF was founded, it was able to make loans to the CBGF and SBGF so that they could better recapitalize failing banks. Figure 4 shows the loans made from the GBIF to the two guarantee funds and Figure 5 shows how the guarantee funds supported banks. Figure 6 shows a timeline of bank support from these institutions.

**Figure 4: Support Loans to the SBGF and the CBGF (in thousands of NOK)**

| Payment date | Payment            | Cashflow   | Cum. present value | Year | Discount rate |
|--------------|--------------------|------------|--------------------|------|---------------|
| 30.08.1991   | Loan, paid out     | -2 770 000 | -2 770 000         | 1991 | 10.57 %       |
| 31.12.1991   | Loan instalment    | 741 960    | -2 123 438         | 1991 | 10.57 %       |
| 30.06.1992   | Instalment payment | 486 907    | -1 745 629         | 1992 | 11.54 %       |
| 15.08.1992   | Loan, paid out     | -234 000   | -2 003 822         | 1992 | 11.54 %       |
| 30.06.1993   | Instalment payment | 752 663    | -1 451 847         | 1993 | 5.25 %        |
| 31.05.1994   | Instalment payment | 849 135    | -672 521           | 1994 | 6.72 %        |
| 30.06.1994   | Instalment payment | 615 969    | -60 157            | 1994 | 6.72 %        |
| 31.12.1994   |                    |            | -62 162            | 1994 | 6.15 %        |
| 31.12.1995   |                    |            | <b>-65 985</b>     | 1995 | 5.20 %        |
| 31.12.1996   |                    |            | -69 426            | 1996 | 4.05 %        |
| 31.12.1997   |                    |            | -72 238            | 1997 | 4.14 %        |
| 31.12.1998   |                    |            | -75 228            | 1998 | 6.81 %        |
| 31.12.1999   |                    |            | -80 351            | 1999 | 5.67 %        |
| 31.12.2000   |                    |            | -84 920            | 2000 | 7.09 %        |
| 31.12.2001   |                    |            | <b>-90 941</b>     | 2001 | 5.93 %        |

Source: Moe 2004.



**Figure 5: Disbursements and Outstanding Guarantees in Connection with Guarantee Funds' Involvement January 1, 1988–December 31, 1993 (in millions of NOK)**

| Bank's name          | Savings Bank Guarantee Fund      |                                      |                                                | Commercial Banks Guarantee fund      |                                                | Direct payments from GBIF | Norges Bank's losses | Total Disbursements |
|----------------------|----------------------------------|--------------------------------------|------------------------------------------------|--------------------------------------|------------------------------------------------|---------------------------|----------------------|---------------------|
|                      | Outstanding guarantees at 31.12. | Payments financed with own resources | Payments financed with support loans from GBIF | Payments financed with own resources | Payments financed with support loans from GBIF |                           |                      |                     |
| 1988                 |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sp.b. Nord-Norge     | 600                              |                                      |                                                |                                      |                                                |                           | 200                  | 200                 |
| 1989                 |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sp.b. Nord-Norge     | 650                              | 1456                                 |                                                |                                      |                                                |                           | 500                  | 1956                |
| Sp.b. Romsdal        |                                  | 130                                  |                                                |                                      |                                                |                           |                      | 130                 |
| Spareskillingsbanken |                                  | 135                                  |                                                |                                      |                                                |                           |                      | 135                 |
| Varhaug Sp.b.        | 20                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Flå Sp.b.            | 13                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sp.b. Romsdal        | 40                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sunnmørsbanken       |                                  |                                      |                                                | 580                                  |                                                |                           |                      | 580                 |
| Norion Bank          |                                  |                                      |                                                | 305                                  |                                                |                           | 74                   | 379                 |
| 1990                 |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sp.b. Moss Hobøl     |                                  | 145                                  |                                                |                                      |                                                |                           |                      | 145                 |
| Skiptvedt Sp.b.      |                                  | 10                                   |                                                |                                      |                                                |                           |                      | 10                  |
| Varhaug Sp.b.        |                                  | 11                                   |                                                |                                      |                                                |                           |                      | 11                  |
| Flå Sp.b.            |                                  | 5                                    |                                                |                                      |                                                |                           |                      | 5                   |
| Sp.b. Nord-Norge     |                                  | 7                                    |                                                |                                      |                                                |                           |                      | 7                   |
| Sp.b. Romsdal        |                                  | 1                                    |                                                |                                      |                                                |                           |                      | 1                   |

Table 2: continues

|                   | Savings Bank Guarantee Fund            |                                                  |                                                            | Commercial Banks<br>Guarantee fund            |                                                            |                                    |                            |                             |
|-------------------|----------------------------------------|--------------------------------------------------|------------------------------------------------------------|-----------------------------------------------|------------------------------------------------------------|------------------------------------|----------------------------|-----------------------------|
| Bank's name       | Outstanding<br>guarantees<br>at 31.12. | Payments<br>financed<br>with<br>own<br>resources | Payments<br>financed<br>with<br>support loans<br>from GBIF | Payments<br>financed<br>with own<br>resources | Payments<br>financed<br>with support<br>loans<br>from GBIF | Direct<br>payments<br>from<br>GBIF | Norges<br>Bank's<br>losses | Total<br>Disburse-<br>ments |
| 1990 (continues)  |                                        |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Sp.b. Nord-Norge  | 650                                    |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Sp.b. Nordland    | 500                                    |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Varhaug Sp.b.     | 10                                     |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Sp.b. Romsdal     | 50                                     |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Hemnes Sp.b.      | 7                                      |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Sunnmørsbanken    |                                        |                                                  |                                                            | 466                                           |                                                            |                                    |                            | 466                         |
| 1991              |                                        |                                                  |                                                            |                                               |                                                            |                                    |                            |                             |
| Den norske Bank   |                                        |                                                  |                                                            | 939                                           |                                                            |                                    |                            | 939                         |
| Fokus Bank        |                                        |                                                  |                                                            | 1500                                          | 650                                                        | 475                                |                            | 2625                        |
| Christiani a Bank |                                        |                                                  |                                                            | 924                                           | 1800                                                       | 5140                               |                            | 7864                        |
| Samvirkebanken    |                                        |                                                  |                                                            | 22                                            |                                                            |                                    |                            | 22                          |
| Sp.b. Midt-Norge  |                                        | 365                                              | 160                                                        |                                               |                                                            |                                    |                            | 525                         |
| Sp.b.Rogaland     |                                        | 440                                              | 160                                                        |                                               |                                                            |                                    |                            | 600                         |
| Nordkapp Sp.b.    |                                        | 15                                               |                                                            |                                               |                                                            |                                    |                            | 15                          |
| Hemnes Sp.b.      |                                        | 27                                               |                                                            |                                               |                                                            |                                    |                            | 27                          |
| Sp.b. Romsdal     |                                        | 47                                               |                                                            |                                               |                                                            |                                    |                            | 47                          |
| Flå Sp.b.         |                                        | 2                                                |                                                            |                                               |                                                            |                                    |                            | 2                           |
| Tysfjord Sp.b.    |                                        | 1                                                |                                                            |                                               |                                                            |                                    |                            | 1                           |

Table 2: continues

|                  | Savings Bank Guarantee Fund      |                                      |                                                | Commercial Banks Guarantee fund      |                                                |                           |                      |                     |
|------------------|----------------------------------|--------------------------------------|------------------------------------------------|--------------------------------------|------------------------------------------------|---------------------------|----------------------|---------------------|
| Bank's name      | Outstanding guarantees at 31.12. | Payments financed with own resources | Payments financed with support loans from GBIF | Payments financed with own resources | Payments financed with support loans from GBIF | Direct payments from GBIF | Norges Bank's losses | Total Disbursements |
| 1991 (continues) |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Halsa Sp.b.      |                                  | 17                                   |                                                |                                      |                                                |                           |                      | 17                  |
| Nittedal Sp.b.   |                                  | 45                                   |                                                |                                      |                                                |                           |                      | 45                  |
| Sp.b. Nordland   |                                  | 350                                  |                                                |                                      |                                                |                           |                      | 350                 |
| Sp. Nord-Norge   | 800                              |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nordkapp Sp.b.   | 40                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Halsa Sp.b.      | 43                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nittedal Sp.b.   | 7                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nore Sp.b.       | 27                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Varhaug Sp.b.    | 9                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Flå Sp.b.        | 6                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Tysfjord Sp.b.   | 6                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| 1992             |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Den norske Bank  |                                  |                                      |                                                |                                      |                                                | 3250                      |                      | 3250                |
| Sp.b. Midt-Norge |                                  |                                      | 75                                             |                                      |                                                |                           |                      | 75                  |
| Sp.b. Rogaland   |                                  |                                      | 144                                            |                                      |                                                |                           |                      | 144                 |
| Hof Sparebank    | 6                                |                                      | 10                                             |                                      |                                                |                           |                      | 10                  |
| Christiania Bank |                                  |                                      |                                                |                                      |                                                | 1900                      |                      | 1900                |
| Fokus Bank       |                                  |                                      |                                                |                                      |                                                | 600                       |                      | 600                 |

Table 2: continues

|                  | Savings Bank Guarantee Fund      |                                      |                                                | Commercial Banks Guarantee fund      |                                                |                           |                      |                     |
|------------------|----------------------------------|--------------------------------------|------------------------------------------------|--------------------------------------|------------------------------------------------|---------------------------|----------------------|---------------------|
| Bank's name      | Outstanding guarantees at 31.12. | Payments financed with own resources | Payments financed with support loans from GBIF | Payments financed with own resources | Payments financed with support loans from GBIF | Direct payments from GBIF | Norges Bank's losses | Total Disbursements |
| 1992 (continues) |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Sp.b. Nord-Norge | 800                              |                                      |                                                |                                      |                                                |                           |                      |                     |
| Halsa Sp.b.      | 43                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nittedal Sp.b.   | 2                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nore Sp.b.       | 16                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Flå Sp.b.        | 1                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Tysfjord Sp.b.   | 4                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| 1993             |                                  |                                      |                                                |                                      |                                                |                           |                      |                     |
| Den norske Bank  |                                  |                                      |                                                |                                      |                                                | 1500                      |                      | 1500                |
| Fokus Bank       |                                  |                                      |                                                |                                      |                                                | 20                        |                      | 20                  |
| Oslobanken       |                                  |                                      |                                                |                                      |                                                | 88                        |                      | 88                  |
| Fokus Bank       |                                  |                                      |                                                |                                      |                                                | 200                       |                      | 200                 |
| Sp.b. Nord-Norge | 800                              |                                      |                                                |                                      |                                                |                           |                      |                     |
| Halsa Sp.b.      | 15                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nittedal Sp.b.   | 2                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Nore Sp.b.       | 15                               |                                      |                                                |                                      |                                                |                           |                      |                     |
| Hof Sp.b.        | 2                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Tysfjord Sp.b.   | 2                                |                                      |                                                |                                      |                                                |                           |                      |                     |
| Total            |                                  | 3 209                                | 549                                            | 4 736                                | 2 450                                          | 13 173                    | 774                  | 24 891              |

i) For cases already settled the figures cover realised losses by the end of 1993 (e.g. in the case of Norion Bank). Assets acquired from banks are entered at the same value as recorded in the guarantee funds' accounts at the time the assets were acquired. Outstanding guarantee liabilities at 31 December are entered in full irrespective of expected payments. In addition to the amounts mentioned, the Commercial Banks Guarantee Fund furnished a deposit guarantee in Norion Bank in 1989, an equity guarantee in Fokus Bank in 1990 and guaranteed for all of Sunnmørsbanken's obligations in 1988. In 1993 the CBGF issued a guarantee for the fulfilment of Oslobanken's obligations. As most of these guarantees had no limit, amounts are not mentioned. The Commercial Banks' Guarantee Fund also contributed support deposits to 10 commercial banks totalling NOK 196m in 1991.

The payment date is applied. Resolutions on payments were in several cases adopted in the previous year, cf. Table A in the *Survey of support measures* at the end of this chapter.

Disbursements up to and including 1993 under various guarantees from the CBGF and the SBGF are included in the table. I have not tried to find the exact figures for later disbursements and/or dividends under the guarantees, and hence the CBGF and the SBGF's final losses as a result of the guarantees. The CBGF has informed that the final bills regarding Sunnmørsbanken and Norion Bank were roughly as stated in the table. Disbursements under the guarantee for Oslobanken amounted to NOK 563m. Norges Bank's final loss was NOK 27m smaller than stated in the table, not counting lost interest. The SBGF informs that the guarantee regarding Sparebanken Nord-Norge, outstanding by the end of 1993, expired at 1 December 1994, without any disbursements made under the guarantee.

It seems that adding the NOK 563m for Oslobanken to the table's total, getting approximately NOK 25.4 bn., gives a good estimate of total disbursements.

**Sources:** CBGF, SBGF and GBIF (The table is from Report no. 39 to the Storting (1993-1994). Minor adjustments have, however, been made).

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Source: Moe 2004.

**Figure 6: Norway: Funds Used in Rescue Operations**

|                   |                        | Savings Banks<br>Guarantee Fund |                    | Commercial Banks<br>Guarantee Fund | Government Bank<br>Insurance Fund |        | Government Bank<br>Investment Fund |
|-------------------|------------------------|---------------------------------|--------------------|------------------------------------|-----------------------------------|--------|------------------------------------|
|                   |                        | Guarantee                       | Equity             | Equity                             | Guarantee                         | Equity |                                    |
| 1988              | Sparebanken Nord-Norge | 600                             |                    |                                    | 200                               |        |                                    |
| 1989              | Sparebanken Nord-Norge | 650                             | 1,456              |                                    | 500                               |        |                                    |
|                   | Sunnmørsbanken         |                                 |                    | 580                                |                                   |        |                                    |
|                   | Norion Bank            |                                 |                    | 305                                | 73                                |        |                                    |
|                   | Other savings banks    | 73                              | 288                |                                    |                                   |        |                                    |
| 1990              | Sparebanken Nord-Norge | 650                             | 7                  |                                    |                                   |        |                                    |
|                   | Sunnmørsbanken         |                                 |                    | 466                                |                                   |        |                                    |
|                   | Other savings banks    | 567                             | 172                |                                    |                                   |        |                                    |
| 1991              | Den Norske Bank        |                                 |                    | 940                                |                                   |        |                                    |
|                   | Fokus Bank             |                                 |                    | 2,150 <sup>2</sup>                 |                                   |        | 475                                |
|                   | Christiania Bank       |                                 |                    | 2,724                              |                                   |        | 5,140                              |
|                   | Sparebanken Midt-Norge |                                 | 525                |                                    |                                   |        |                                    |
|                   | Sparebanken Rogaland   |                                 | 600                |                                    |                                   |        |                                    |
|                   | Sparebanken Nord-Norge | 800                             |                    |                                    |                                   |        |                                    |
|                   | Oslobanken             |                                 |                    |                                    |                                   |        | 63                                 |
|                   | Other commercial banks |                                 |                    | 22                                 |                                   |        | 20                                 |
|                   | Other savings banks    | 138                             | 504                |                                    |                                   |        |                                    |
| 1992 <sup>1</sup> | Den Norske Bank        |                                 |                    |                                    | 600                               | 4,750  | 1,675                              |
|                   | Christiania Bank       |                                 |                    |                                    |                                   | 1,900  |                                    |
|                   | Sparebanken Midt-Norge |                                 | 75                 |                                    | 200                               | 600    |                                    |
|                   | Sparebanken Rogaland   |                                 | 144                |                                    |                                   |        |                                    |
|                   | Other savings banks    |                                 |                    |                                    |                                   |        | 1,070                              |
|                   | Total                  | 3,478                           | 3,768 <sup>3</sup> | 7,187 <sup>4</sup>                 | 773                               | 800    | 12,865                             |
|                   |                        |                                 |                    |                                    |                                   |        | 2,828                              |

Sources: Commission on the Banking Crisis (1992); Organization for Economic Cooperation and Development (1995).

<sup>1</sup>No official support was provided to banks after 1992.

<sup>2</sup>Indicates also subordinate convertible debt.

<sup>3</sup>Indicates Nkr 539 million made on the basis of support loans from the Government Bank Insurance Fund.

<sup>4</sup>Includes Nkr 2.45 billion made on the basis of support loans from the Government Bank Insurance Fund.

Source: Drees 1998.

**6. Eligible Institutions: The GBIF first made loans to the CBGF and SBGF so they could recapitalize banks. It later had the authority to inject capital directly into distressed banks and no further detail has been found on which banks were eligible.**

When the GBIF was originally established on March 5, 1991, its mandate was to lend public money to the two private bank deposit guarantee funds, CBGF and SBGF, so that they could continue to recapitalize failing banks (Ongena 2003, Bergo 2003).

When the Storting extended the mandate of the GBIF in late 1991, distressed banks were eligible to receive capital injections directly from the GBIF (Drees 1998). These banks were also eligible for SBIF share purchases, which occurred on a commercial and long-term basis.

The GBIF also injected capital to liquidate Oslobanken. Though Norwegian banks as a whole reported improvements in 1993, Oslobanken, which was already owned in part by

the SBIF, applied for GBIF capital since it could not meet its capital requirement (Moe 2004). The GBIF initially had rejected this request, instead attempting and failing to orchestrate a merger with another bank. It is unclear why GBIF had rejected the request. Due to the bank's reported negative equity capital and a concern for systemic risk, the GBIF injected capital alongside CBGF guarantees to facilitate the liquidation of Oslobanken. This concluded in November 2000.

## **7. Capital Characteristics: The GBIF and SBIF made indirect and direct capital injections, and also issued convertible loans.**

### ***GBIF***

In early 1991, Christiania Bank and Fokus Bank both applied for capital injections from the CBGF. The CBGF had depleted funds, so in August 1991, the GBIF loaned nearly half its funding to the CBGF to finance capital injections of NOK 1.8 billion of preferred shares in Christiania Bank and NOK 650 million of preferred shares in Fokus Bank (Kaen 1997). In October 1991, the GBIF provided two loans of NOK 160 million to the SBGF to recapitalize Sparebanken Rogaland and Sparebanken Midt-Norge. These capital injections were intended to bring the recapitalized banks to capital adequacy by the end of the year (Moe 2004). The GBIF designed these injections to be preferred capital without voting rights that accrued dividends (Storting 1991c).

In the third quarter of 1991, Christiania Bank had incurred losses so great that all common and preferred equity capital, of which NOK 2.7 billion had been injected by the CBGF, was written off (Moe 2004). Fokus Bank had made losses that wiped out all common equity and some preferred equity, while Den norske Bank had only NOK 327 million of share capital and all its preferred equity remaining.

The GBIF signed agreements to provide all three banks capital injections mostly in common equity, and helped Den norske and Christiania banks achieve an 8% capital ratio by the end of 1991 and you can see these transactions in Figure 7. Fokus Bank achieved a 5.5% capital ratio, but this was adequate as it had promised to reduce its balance sheet significantly in the following two years. By the end of 1991, the government completely took over Fokus Bank and Christiania Bank, and became the majority owner of Den norske Bank (Moe 2004).

Later in 1992, as the banks continued to post losses, the GBIF agreed to provide NOK 4 billion in mostly preferred equity to again bring Den norske Bank and Christiania Bank up to an 8% capital adequacy ratio, subject to additional appropriations by the Norwegian Storting, and to help Fokus Bank achieve the 8% capital adequacy ratio, which occurred after it sold some of its holdings (Moe 2004; Figure 7). This would also bring Fokus Bank to an 8% capital ratio after parts of the bank were sold as per its contract with GBIF. The GBIF agreed to inject NOK 600 million in Den norske Bank, and NOK 200 million in Fokus Bank if their capital ratios dipped below 3.8% in late 1993, but this did not occur.

The GBIF later sold 229 million shares of Christiania Bank to the SBIF at a price based on the equity capital per share in the bank's 1992 annual accounts. The GBIF also had

contracted to provide Fokus Bank additional capital if needed to maintain its capital requirements, and in 1993, contributed NOK 20 million to help it merge with Samvirkebanken (Moe 2004). Consequently, there was a small minority of private owners in Fokus bank.

The GBIF also made loans to the SBGF to support capital injections to Sparebanken Rogaland and Sparebanken Midt-Norge (Moe 2004).

**Figure 7: Overview of GBIF's Decisions Concerning Support Measures (in millions of NOK)**

| Guarantee Fund/Bank <sup>1</sup> | Amount             | Type of capital <sup>2</sup>      |
|----------------------------------|--------------------|-----------------------------------|
| 1991:                            |                    |                                   |
| CBGF/Christiania Bank            | 1 800              | Preference capital                |
| CBGF/Fokus Bank                  | 650                | Preference capital                |
| SBGF/Sp. Rogaland                | 160                | Primary capital certificates      |
| SBGF/Sp. Midt-Norge              | 160                | Primary capital certificates      |
| Den norske Bank                  | 3 250              | Preference capital                |
| Christiania Bank                 | 5 140              | Share capital                     |
| Fokus Bank                       | 475                | Share capital                     |
| Total                            | 11 635             |                                   |
| 1992:                            |                    |                                   |
| SBGF/Sp. Midt-Norge              | 75                 | Primary capital certificates      |
| SBGF/Sp. Rogaland                | 24                 | Primary capital certificates      |
| SBGF/Sp. Rogaland                | 120                | Primary capital certificates      |
| SBGF/Sp. Hedmark                 | 15                 | Primary capital certificates      |
| Den norske Bank                  | 1 500              | Preference capital                |
|                                  | (600) <sup>3</sup> | Conditional capital contribution  |
| Christiania Bank                 | 1 050              | Preference share capital          |
|                                  | 850                | Convertible subordinated loan     |
| Fokus Bank                       | 600                | Share capital                     |
|                                  | (200) <sup>3</sup> | Conditional capital contribution. |
| Total                            | 4 234              |                                   |
| 1993:                            |                    |                                   |
| Fokus Bank                       | 20                 | Share capital                     |
| Oslobanken                       | 80                 | Share capital                     |
| Fokus bank                       | 200                | Share capital                     |
| Total                            | 308                |                                   |
| Combined total                   | 16 177             |                                   |

1) In those cases where only a bank is listed, the capital injection has been made directly from the GBIF to the bank.

2) In those cases where the CBGF or the SBGF is involved, the support has always been provided as loans from the GBIF, while the respective guarantee funds have injected the capital in the form mentioned.

3) Conditional capital contributions not disbursed in 1992 and not included in the total for the year. The capital contribution to Fokus Bank was paid in 1993 and is included there. The conditions for the payment of the contribution to Den norske Bank did not materialise.

Source: Moe 2004.

## **SBIF**

The SBIF made two primary capital certificate injections in 1991, purchasing 19.6% of Oslobanken and 32.3% of Samvirkebanken to meet capital adequacy requirements (Figure 7). It also made two convertible loans in the savings bank Union Bank of Norway totaling NOK 1 billion and convertible loans of NOK 70 million and NOK 25.6 million in the savings banks Sparebanken Vest and Sparebanken Møre respectively. Of the 1992 capital

injections, NOK 1.5 billion occurred through the sale of equity capital to the SBIF (Moe 2004).

**8. Allocating loss to existing shareholders: Before GBIF injected capital, private shareholders bore losses.**

Before GBIF directly injected capital, it conducted an audit of the bank and required that all losses calculated by an audit would first be borne by the original private shareholders (Milne 2009). This decision is generally made by the banks' General Meetings, but if the bank refused to do so, an amendment to the Commercial Bank Act allowed the government to write down the share capital of the bank against the losses in the audited interim account (Bergo 2003). This was done twice, when shareholders refused to write down a bank's shares as required by GBIF. This made certain that shareholders bore a bank's losses before taxpayer money was put on the table.

The conditions imposed on injections made through GBIF support were unattractive to shareholders and bank managers, incentivizing them to try private-sector solutions first, and use the GBIF only as a last resort (Bergo 2003). These conditions also made sure that GBIF-capitalized banks did not have a competitive advantage over other banks. The condition that required losses to be absorbed by shareholders was also imperative in gaining political support from the electorate to conduct rescue operations.

**9. Fate of management: The GBIF claimed board seats on each of the two private bank guarantee funds, and generally replaced the management of recapitalized banks.**

The GBIF replaced two bank-elected members each from the boards of the CBGF and the SBGF after it began making loans to them. This gave the government a majority of four on each seven-member board. These new guarantee-fund boards would choose the new boards of recapitalized banks. They often replaced bank management, though it was not required (Moe 2004; Bergo 2003). However, the governance structure of the banks remained intact while the ownership was transferred to the GBIF (Bergo 2005). This ensured that politicians could not easily micromanage the recapitalized banks and prevented the GBIF from interfering in the banks' day-to-day business operations. A commenter close to the program confirmed that there was agreement among authorities that government funds should not have lasting and direct influence on the daily operations of the banks.

**10. Other Conditions: The GBIF injections were contingent on a number of conditions including the write-down of old capital to cover bank losses and a reduction in operating costs.**

Capital support through the private bank guarantee funds required a bank to present a business plan that improved profits and reduced risk-weighted assets (Drees 1998). For loans made to the private bank guarantee funds, the GBIF had the power to impose conditions on both the private bank guarantee funds and banks that received injections from them (Moe 2004).



Capital injections performed through Norwegian private bank guarantee funds or directly from the GBIF were contingent on reducing bank operating costs, downsizing some activities, and taking measures to restrain growth in total assets. The banks that received GBIF injections were required to regularly update the GBIF on their compliance with the conditions set during the injections and their progress towards profitability (Bergo 2005). Conditions could include programs for cutting operating costs and bank branches (Moe 2004). These conditions were customized for each bank and made public (Bergo 2003).

The GBIF required the write-down of old capital to cover bank losses prior to capital injections to Fokus, Christiania, and Den norske banks in 1991. The shareholders of Fokus and Christiania banks could not agree on how their capital should be written down, so the Norwegian government issued royal decrees on December 20, 1991, that wrote their common equity capital down to zero. The GBIF subsequently became the sole common equity shareholder of Fokus and Christiania banks; as Den norske Bank still had private common equity shareholders, the GBIF purchased preferred shares from it. In 1991 Den norske Bank also acquired mortgage company RealKredit, whose shareholders purchased shares in the bank and underwrote new preference capital alongside the SBIF (Moe 2004). The SBIF subsequently became the majority owner of Den norske Bank with 55.6% of its shares.

In 1992, the lowest priority capital was written down against uncovered losses prior to new capital injections. In Den norske Bank, private share capital, CBGF preferred capital, and the lowest rated GBIF preferred capital were written down to zero, while in Christiania Bank, the par value of common shares was written down from NOK 25 to NOK 7. Fokus bank had all its CBGF preferred capital written down to zero, and its common shares were written down from NOK 25 to NOK 11 (Moe 2004). In 1991-92, the CBGF lost NOK 5.8 billion on the preferred shares it purchased in the top three Norwegian banks.

As the crisis eased in 1993, the GBIF became increasingly confronted with issues of ownership and increases of capital, especially as existing agreements between GBIF and the banks that received capital injections often conflicted with pricing bank shares sensibly when GBIF was considering exiting its injections. When Christiania and Den norske banks sought to issue new capital, the GBIF replaced its agreements with the banks to allow it (Moe 2004). The new agreements clarified the GBIF's temporary role as a contingency safety net until the CBGF regained sufficient resources; the agreements required regular reporting to the GBIF but allowed the banks to make commercial decisions without encumbrance. Fokus Bank arranged a similar agreement in 1995.

**11. Exit Strategy: There was no set deadline for reprivatizing the banks that received capital injections, but GBIF was intended to be a temporary measure and the participation was gradually phased out after the crises.**

In June 1992, the Norwegian state offered former shareholders a call option on 25% of its shareholding of Christiania Bank (Munthe 1992). They were offered at 16 NOK each, a discount of 36% from their book value of 25 NOK, and a discount of 66% relative to the

purchase price of 46.73 NOK that the government had paid. Still, former shareholders purchased only 2.3% of the shares offered (Moe 2004).

There was no set deadline for reprivatizing the banks that received capital injections, allowing the GBIF to set its own strategy for selling the shares it held (Bergo 2005). However, the GBIF was intended to be a temporary measure, and its participations were to be gradually phased out after the crisis (Munthe 1992).

The Norwegian Storting addressed the GBIF and SBIF's role in the banks in 1993-94, by calling for a continuation of at least one-third state ownership of Den norske and Christiania banks through 1997 to maintain decision-making in Norway, focusing on Norwegian industries (Moe 2004). State ownership of Fokus bank was maintained. The SBIF was to dispose of its holdings in all but the two major banks, selling assets gradually when commercial conditions allowed it.

In December 1993, Christiania Bank sought additional private capital to strengthen its capitalization, and issued NOK 2 billion of equity, bringing the government's stake down to 68.9% (Moe 2004). The GBIF decided to convert its preferred shares in Den norske Bank to common equity, making the GBIF the majority owner; the government owned 87.5% of Den norske Bank in December 1993. The following spring, Den norske Bank issued NOK 1 billion in shares, and the GBIF also sold NOK 1 billion of its shares, reducing state ownership to 72%.

During the crisis, the SBGF had purchased primary capital certificates in three savings banks with its own funds and GBIF loans (Moe 2004). In spring 1994, it sold these above par and repaid its GBIF debt with NOK 2 billion outstanding, eliminating all obligations the savings-bank sector had to the GBIF.

As the GBIF was intended to be a safety net until the CBGF and the SBGF could support their own industries, money was transferred from the GBIF to the Treasury as shares were sold from 1994 onward based on the GBIF's liquidity needs (Moe 2004). While the SBGF had regained its health by that time, the CBGF did not repay its GBIF loans until 1995, and the GBIF remained part of the commercial bank safety net while it rebuilt its capital.

The government gradually sold GBIF's shares in banks after the crisis to the SBIF and on the open market (Meinich 2019). The GBIF sold Fokus Bank to Danske Bank, and gradually sold Christiania Bank, which eventually merged with Nordea, a pan-Nordic group (Honkapohja 2009). The GBIF also sold Den norske Bank shares gradually, though the government still owns 34% of DnB NOR, the entity resulting from the merger of Den norske Bank and the Union Bank of Norway. The GBIF's holding amounted to about 20% of Norway's total banking assets as of 2005 (Bergo 2005).

The Norwegian government keeps its 34.21% holding in DnB NOR to prevent it being sold to foreign banks as of 2019 (Steigum 2010; DnB Group 2020).

The GBIF's shares were managed by the SBIF starting in 1995. By the end of 1995, Fokus Bank had been fully privatized, and by the end of 1996, the GBIF and SBIF only held

reduced stakes in Den norske Bank and Christiania bank (Moe 2004). Later the Storting recommended the state retain ownership in only one institution, which would be Den norske Bank; consequently, Christiania Bank shares were sold to Merita Nordbanken in 2000. In the spring of 2001, the last remaining shares held by the GBIF, 104 million shares or 13% of DnB NOR, were sold in the open market, and the GBIF was subsequently no longer an owner of bank shares (Meinich 2019).

It became clear that the GBIF was no longer necessary to support the two private bank deposit guarantee funds by 2001, and in 2002, the Fund was abolished (Moe 2004). Christiania, Fokus, and Den norske bank no longer had to report quarterly to the GBIF.

Similarly, the SBIF transferred excess funds to the Treasury from 1993 onwards, paying more than NOK 26 billion in dividends to the state before it was dissolved in 2004. In 2003, the SBIF had a 47.8% stake in DnB ASA, the parent company of Den norske, which merged with the Union Bank of Norway to form DnB NOR ASA in December 2003 (Moe 2004). The SBIF initially held 28.1% of the merged company, though the Norwegian Storting agreed that the SBIF should make private purchases to increase its stake to 34% of DnB NOR. In 2004, when the SBIF was terminated, its DnB NOR shares were transferred to the Ministry of Trade and Industry.

**12. Relevant Regulatory Changes: The Commercial Bank Act was amended before the injection to entitle the government to write down the share capital of a bank against losses in the audited interim accounts, if the shareholders' General Meeting did not do so.**

This was to force the banks to take on the losses before the taxpayers' money was injected into these banks. This authority was used in two instances where shareholders refused to write down a bank's shares as required by GBIF. Shareholders in one bank brought the case to the courts but lost (Bergo 2003).

### **III. Evaluation**

The government shareholding in DnB NOR illustrates the "too-big-to-fail" problem endemic to all Nordic countries (Steigum 2010). DnB NOR's total assets amounted to about 90% of Norway's GDP. As of 2019, the GBIF holds a blocking 34% minority in DnB NOR, amounting to about 20% of Norway's banking sector (Bergo 2005; DnB Group 2020).

After the crisis, the two major banks that were rescued had profit-to-asset ratios that were similar to other Norwegian banks that had not been recapitalized by the GBIF (Bergo 2005). Bergo, Deputy Governor of Norges Bank, acknowledged the success of GBIF interventions in Norwegian banks, but raised a few concerns. First, there exists a potential conflict of interest between the government's role as a regulator and supervisor of financial markets, and its role as a shareholder. In addition, how will the GBIF's interest in DnB NOR affect its actions if DnB NOR fails? After the winding down of the GBIF, the Norwegian government transferred the management of DnB NOR from the Ministry of Finance to the

Ministry of Industry, so that the regulating body was not directly responsible for the shares. Bergo believes it is possible but unlikely that political authorities would intervene in the bank for political purposes; it would be difficult, as the government is a minority owner of DnB NOR, and its governance structure does not give a minority owner easy control. However, Bergo is concerned that the government might be unwilling to write down DnB NOR shares to cover losses, or would not credibly treat it the same way as privately owned banks.

A commenter close to the program remarked that most of the decisions on solving the banking crises in Norway had broad political support in the Storting. He stated that there was agreement that government funds should not have lasting and direct influence on the daily operations of the banks. Without strong Norwegian private-capital owners, the conservatives in government agreed that the government should maintain a key role as owner in DnB NOR. The alternative would have been to let foreign owners dominate the operations of the largest bank in Norway. The key decision where the Ministry of Finance took an active and leading role, was the appointment of the board of the bank, and the Ministry took care not to be strongly involved in other operations of the bank.

Since banks that received a capital injection from the government were able to continue their normal operations, borrowers faced normal credit conditions (Bergo 2003). Bergo asserts that the economic costs of the crisis were greatly reduced because capital injections saved some banks from closure and maintained the supply of credit. The GBIF was established as a third line of defense, after equity capital and private bank guarantee funds, and was successful in preventing systemic damage caused by bank losses. However, Bergo also supported closing the GBIF to avoid moral hazard after the crisis and advocated for solutions that focus on saving the financial system rather than shoring up individual banks.

The government's decision to write the capital of Fokus and Christiania banks to zero was controversial. A 1997 retrospective government report studied the bank's values and simulated alternatives, ultimately deciding that it was a prudent decision. However, it criticized the government for preventing private shareholders from articulating arguments in their defense prior to the write-down of their shares. This contributed to a lack of confidence in the decision. The report concludes that there is some doubt about whether it was necessary to write down shares in Den norske Bank, which had fewer losses and whose losses came about in part due to its government-orchestrated purchase of Realkredit. The report criticizes the government for not evaluating Den norske Bank's discounted future profit value, which the report estimates would have sufficed to demonstrate that even ordinary share capital had value and did not need to be written down (Moe 2004). However, Den norske Bank's own shareholders decided to write down the capital instead of seeking better prospects.

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## V. Key Program Documents

### Summary of Program

(Meinich 2019). Statens Banksikringsfond

*Encyclopaedia entry on the GBIF.*

<https://ypfs.som.yale.edu/library/government-bank-insurance-fund>

### Legal/Regulatory Guidance

(Storting 1991a) Act on State Bank Guarantee Fund (01/25/1991)

*Original law establishing the GBIF and its powers.*

<https://ypfs.som.yale.edu/node/17253>

(Storting 1991b) Act on State Bank Investment Fund (10/25/1991)

*Original law establishing the SBIF and its capacity.*

<https://ypfs.som.yale.edu/node/17252>

(Storting 1991c) Regulations for the Activities of the GBIF (11/29/1991)

*Update to GBIF's powers allowing it to make direct capital injections.*

<https://ypfs.som.yale.edu/library/regulations-activities-government-bank-guarantee-fund>

(Storting 2003) Parliament Meeting June 4, 2003

*Transcript of discussion on continued state ownership of DnB NOR and increase of ownership from 28.1% to 34%.*

<https://ypfs.som.yale.edu/library/recommendation-business-committee-merger-between-dnb-holding-asa-and-gjensidige-nor-asa>

**Reports/Assessments**

(Gerdrup 2003) Three Episodes of Financial Fragility in Norway Since the 1890s

*BIS paper on Norwegian financial crises.*

<https://ypfs.som.yale.edu/library/three-episodes-financial-fragility-norway-1890s>

(Honkapohja 2014) Financial Crises: Lessons from the Nordic Experience

*Paper on Nordic financial crises and their outcomes.*

<https://ypfs.som.yale.edu/library/financial-crises-lessons-nordic-experience>

(Munthe 1992) Bankkrisen Utredning

*Norwegian government report on the banking crisis.*

<https://ypfs.som.yale.edu/library/banking-crisis-investigation>

(Vittas 1992) Financial Regulation: Changing the Rules of the Game

*Paper on banking crises policymaking, and regulatory reform.*

<https://ypfs.som.yale.edu/library/financial-regulation-changing-rules-game>

## VI. Appendixes

### Appendix A: Den norske Bank

Table 4: Den norske Bank

| Payment date | In NOK 1000                       | No. of shares<br>GBIF SBIF | NOK<br>per<br>share | Cashflow   | Cum.<br>present<br>value | Only<br>outgoing<br>payments | Disc.<br>rate |
|--------------|-----------------------------------|----------------------------|---------------------|------------|--------------------------|------------------------------|---------------|
| 30.03.92     | Underwriting effectuated          | 163 872                    | 10.00               | -1 638 717 | -1 638 717               |                              | 14.3 %        |
| 10.04.92     | Supplied preference capital       |                            |                     | -3 250 000 | -4 895 331               |                              | 14.3 %        |
| 31.12.92     | No. of shares 31.12.92            | 163 872                    |                     | 0          | -5 394 178               |                              | 14.3 %        |
| 31.03.93     | Supplied preference capital       |                            |                     | -1 500 000 | -7 074 912               | -7 074 912                   | 9.3 %         |
| 31.12.93     | No. of shares 31.12.93            | 163 872                    |                     | 0          | -7 562 558               | -7 562 558                   | 9.3 %         |
| 27.01.94     | Conv. pref.cap. to shares         | 350 000                    |                     | 0          | -7 612 212               | -7 612 212                   | 10.2 %        |
| 31.05.94     | Public offering                   | -53 000                    | 16.75               | 887 750    | -6 978 615               | -7 866 365                   | 10.2 %        |
| 31.05.94     | Costs assoc. with sale            |                            |                     | 35 043     | -6 943 572               | -7 866 365                   | 10.2 %        |
| 31.12.94     | No. of shares 31.12.94            | 297 000 163 872            |                     | 0          | -7 348 497               | -8 325 104                   | 10.2 %        |
| 15.05.95     | Dividend received                 |                            | 1.25                | 576 090    | -7 039 912               | -8 628 159                   | 9.2 %         |
| 31.12.95     | No. of shares 31.12.95            | 297 000 163 872            |                     | 0          | -7 441 367               | -9 120 185                   | 9.2 %         |
| 29.04.96     | Sales from GBIF to SBIF           | -66 128 66 128             | 19.20               | 0          | -7 659 829               | -9 387 934                   | 8.1 %         |
| 30.06.96     | Public offering                   | -126 872                   | 19.30               | 2 448 625  | -5 312 607               | -9 512 214                   | 8.1 %         |
| 30.06.96     | Costs assoc. with sale            |                            |                     | -71 716    | -5 384 323               | -9 512 214                   | 8.1 %         |
| 15.05.96     | Dividend received                 |                            | 1.50                | 691 308    | -4 640 733               | -9 419 850                   | 8.1 %         |
| 31.12.96     | No. of shares 31.12.96            | 104 000 230 000            |                     | 0          | -4 872 758               | -9 890 817                   | 8.1 %         |
| 15.05.97     | Dividend received                 |                            | 1.75                | 584 500    | -4 429 812               | -10 178 148                  | 8.1 %         |
| 31.12.97     | No. of shares 31.12.97            | 104 000 230 000            |                     | 0          | -4 653 732               | -10 692 637                  | 8.1 %         |
| 15.05.98     | Dividend received                 |                            | 1.75                | 584 500    | -4 205 899               | -11 006 649                  | 10.8 %        |
| 30.06.98     | Costs assoc. with<br>planned sale |                            |                     | -2 932     | -4 263 593               | -11 149 959                  | 10.8 %        |
| 31.12.98     | No. of shares 31.12.98            | 104 000 230 000            |                     | 0          | -4 490 022               | -11 742 105                  | 10.8 %        |
| 15.05.99     | Dividend received                 |                            | 1.35                | 450 900    | -4 212 864               | -12 196 467                  | 9.7 %         |
| 30.06.99     | Costs assoc. with<br>planned sale |                            |                     | -441       | -4 262 600               | -12 339 178                  | 9.7 %         |
| 31.12.99     | No. of shares 31.12.99            | 104 000 230 000            |                     | 0          | -4 465 635               | -12 926 915                  | 9.7 %         |
| 31.01.00     | Increase in capital (Postbk.)     | 138 158                    | 30.10               | -4 158 553 | -8 659 334               | -17 187 209                  | 11.1 %        |
| 15.05.00     | Dividend received                 |                            | 1.75                | 826 276    | -8 099 045               | -17 715 145                  | 11.1 %        |
| 31.12.00     | No. of shares 31.12.00            | 104 000 368 158            |                     | 0          | -8 653 969               | -18 928 936                  | 11.1 %        |
| 15.05.01     | Dividend received                 |                            | 2.25                | 828 355    | -8 168 874               | -19 679 755                  | 9.9 %         |
| 10.04.01     | Sale remaining shares GBIF        | -104 000                   | 41.50               | 4 316 000  | -3 779 050               | -19 501 905                  | 9.9 %         |
| 10.04.01     | Costs assoc. with sale            |                            |                     | -90 242    | -3 869 292               | -19 501 905                  | 9.9 %         |
| 31.12.01     | Value of remainder 31.12.01       | 0 368 158                  | 40.20               | 14 799 947 | 10 655 343               | -20 889 524                  |               |

Source: Moe 2004.



## Appendix B: Christiania Bank

Table 5: Christiania Bank

| Payment date | In NOK 1000                       | Number<br>GBIF SBIF | NOK<br>per<br>share | Cashflow   | Cum.<br>present<br>value | Only<br>outgoing<br>payments | disc.<br>rate |
|--------------|-----------------------------------|---------------------|---------------------|------------|--------------------------|------------------------------|---------------|
| 20.12.1991   | Fully paid share capital          | 110 000             | 46.73               | -5 140 300 | -5 140 300               | -5 140 300                   | 14.1 %        |
| 15.07.1992   | Sales of shares to priv.          | -2 476              | 16.00               | 39 618     | -5 501 960               | -5 541 578                   | 14.3 %        |
| 15.07.1992   | Costs assoc. with sale            |                     |                     | -7 310     | -5 509 270               | -5 541 578                   | 14.3 %        |
| 21.12.1992   | Fully paid pref. shares           | 150 000             | 7.00                | -1 050 000 | -6 889 557               | -6 923 802                   | 14.3 %        |
| 21.12.1992   | Convertible subord. loan          |                     |                     | -850 000   | -7 739 557               | -7 773 802                   | 14.3 %        |
| 31.12.1992   | No. of shares 31.12.92            | 257 524 0           |                     | 0          | -7 767 950               | -7 802 321                   | 14.3 %        |
| 26.03.1993   | Sale from GBIF to SBIF            | -228 829 228 829    | 6.56                | 0          | -8 013 533               | -8 048 991                   | 9.3 %         |
| 31.12.1993   | Interest subord. loan             |                     |                     | 114 401    | -8 461 861               | -8 614 209                   | 9.3 %         |
| 30.06.1993   | Loan conv. to shares              | 121 429             |                     | 0          | -8 092 771               | -8 238 474                   | 9.3 %         |
| 31.12.1993   | No. of shares 31.12.93            | 150 124 228 829     |                     | 0          | -8 461 861               | -8 614 209                   | 9.3 %         |
| 22.07.1994   | Sale from GBIF to SBIF            | -46 671 46 671      | 13.00               | 0          | -8 888 624               | -9 048 655                   | 10.2 %        |
| 31.12.1994   | No. of shares 31.12.94            | 103 452 275 500     |                     | 0          | -9 278 307               | -9 445 354                   | 10.2 %        |
| 15.05.1995   | Dividend received                 |                     | 0.90                | 341 057    | -9 275 005               | -9 789 190                   | 9.2 %         |
| 01.10.1995   | Sales of shares to SBIF           | -5 500 5 500        | 14.90               | 0          | -9 591 138               | -10 122 850                  | 9.2 %         |
| 15.12.1995   | Public offering shares            | -97 952             | 14.20               | 1 390 924  | -8 375 242               | -10 307 581                  | 9.2 %         |
| 15.12.1995   | Costs assoc. with public offering |                     |                     | -43 381    | -8 418 623               | -10 307 581                  | 9.2 %         |
| 31.12.1995   | No. of shares 31.12.95            | 0 281 000           |                     | 0          | -8 451 165               | -10 347 425                  | 9.2 %         |
| 15.05.1996   | Dividends received                |                     | 1.10                | 309 100    | -8 423 799               | -10 692 374                  | 8.1 %         |
| 31.12.1996   | No. of shares 31.12.96            | 0 281 000           |                     | 0          | -8 844 967               | -11 226 964                  | 8.1 %         |
| 15.05.1997   | Dividends received                |                     | 1.55                | 435 550    | -8 666 365               | -11 553 110                  | 8.1 %         |
| 31.12.1997   | No. of shares 31.12.97            | 0 281 000           |                     | 0          | -9 104 436               | -12 137 101                  | 8.1 %         |
| 15.05.1998   | Dividends received                |                     | 1.20                | 337 200    | -9 034 607               | -12 493 533                  | 10.8 %        |
| 31.12.1998   | No. of shares 31.12.98            | 0 281 000           |                     | 0          | -9 638 293               | -13 328 342                  | 10.8 %        |
| 31.03.1999   | Public offering shares            | -90 000             | 30.60               | 2 754 000  | -7 131 353               | -13 669 990                  | 9.7 %         |
| 31.03.1999   | Costs assoc. with public offering |                     |                     | -65 000    | -7 196 353               | -13 669 990                  | 9.7 %         |
| 15.05.1999   | Dividends received                |                     | 1.50                | 286 500    | -6 992 217               | -13 826 445                  | 9.7 %         |
| 31.12.1999   | No. of shares 31.12.99            | 0 191 000           |                     | 0          | -7 410 981               | -14 654 512                  | 9.7 %         |
| 15.05.2000   | Dividends received                |                     | 3.00                | 573 000    | -7 097 304               | -15 167 297                  | 11.1 %        |
| 31.12.2000   | Sale to MeritaNordbanken          | -191 000            | 49.00               | 9 359 000  | 1 775 410                | -16 206 517                  | 7.1 %         |
| 31.12.2000   | Costs assoc. with sale            |                     |                     | -10 279    | 1 765 131                | -16 206 517                  |               |
| 31.12.2001   | Present value                     |                     |                     |            | <b>1 890 278</b>         | <b>-17 355 559</b>           |               |

Source: Moe 2004.

## Appendix C: Fokus Bank

Table 6: Fokus Bank

| Payment date | In NOK 1000              | No. GBIF | NOK per share | Cashflow  | Cum. present value | Only outgoing payments | Discount rate |
|--------------|--------------------------|----------|---------------|-----------|--------------------|------------------------|---------------|
| 20.12.1991   | Fully paid share capital | 19 000   | 25.00         | -475 000  | -475 000           |                        | 14.1 %        |
| 23.11.1992   | Fully paid share capital | 24 000   | 25.00         | -600 000  | -1 136 906         |                        | 14.3 %        |
| 31.12.1992   | No. of shares 31.12.92   | 43 000   |               | 0         | -1 152 837         |                        | 14.3 %        |
|              | Fully paid share capital |          |               |           |                    |                        |               |
| 27.04.1993   | (Samvirkebk.)            | 1 818    | 11.00         | -20 000   | -1 223 302         |                        | 9.3 %         |
| 20.12.1993   | Fully paid share capital | 18 182   | 11.00         | -200 000  | -1 495 631         | -1 495 631             | 9.3 %         |
| 31.12.1993   | No. of shares 31.12.93   | 63 000   |               | 0         | -1 499 623         | -1 499 623             | 9.3 %         |
| 31.12.1994   | No. of shares 31.12.94   | 63 000   |               | 0         | -1 638 339         | -1 638 339             | 10.2 %        |
| 15.10.1995   | Public offering          | -63 000  | 29.00         | 1 827 000 | 58 801             | -1 768 199             | 9.20 %        |
| 15.10.1995   | Costs assoc. with sale   |          |               | -56 982   | 1 819              | -1 768 199             | 9.20 %        |
| 31.12.1995   | No. of shares 31.12.95   | 0        |               | 0         | 1 853              | -1 801 335             | 9.20 %        |
| 31.12.1996   | No. of shares 31.12.96   | 0        |               | 0         | 2 024              | -1 967 533             | 4.05 %        |
| 30.06.1997   | Shares from CBGF         | 130      |               | 0         | 2 064              | -2 006 652             | 4.14 %        |
| 30.06.1997   | Sales of shares          | -130     | 55.59         | 7 209     | 9 273              | -2 006 652             | 4.14 %        |
| 31.12.1997   | No. of shares 31.12.97   | 0        |               | 0         | 9 465              | -2 048 110             | 4.14 %        |
| 31.12.1998   |                          |          |               |           | 9 857              | -2 132 902             | 6.81 %        |
| 31.12.1999   |                          |          |               |           | 10 528             | -2 278 153             | 5.67 %        |
| 31.12.2000   |                          |          |               |           | 11 127             | -2 407 688             | 7.09 %        |
| 31.12.2001   |                          |          |               |           | <b>11 916</b>      | <b>-2 578 393</b>      | 5.93 %        |

Source: Moe 2004.

## Appendix D: Oslobanken

Table 7: Oslobanken

| Payment date | In NOK 1000                | Cashflow |         |         | Cum. present value | Only outgoing payments | Discount rate |
|--------------|----------------------------|----------|---------|---------|--------------------|------------------------|---------------|
|              |                            | GBIF     | SBIF    | Total   |                    |                        |               |
| 23.11.1992   | Participation in offering  |          | -62 500 | -62 500 | -62 500            |                        | 14.3 %        |
| 23.11.1992   | Subordinated loan          |          | -1 250  | -1 250  | -63 750            |                        | 14.3 %        |
| 27.04.1993   | Fully paid share capital.  | -88 330  |         | -88 330 | -155 803           | -155 803               | 9.3 %         |
| 31.12.1993   |                            |          |         |         | -165 456           | -165 456               | 5.3 %         |
| 31.12.1994   |                            |          |         |         | -174 142           | -174 142               | 6.2 %         |
| 31.12.1995   |                            |          |         |         | -184 852           | -184 852               | 5.2 %         |
| 02.07.1996   | Interest subordinated loan |          | 603     | 603     | -189 033           | -189 636               | 4.1 %         |
| 02.07.1996   | Redemption subord. loan    |          | 1 250   | 1 250   | -187 783           | -189 636               | 4.1 %         |
| 31.12.1996   |                            |          |         |         | -191 538           | -193 428               | 4.1 %         |
| 31.12.1997   |                            |          |         |         | -199 295           | -201 262               | 4.1 %         |
| 31.12.1998   |                            |          |         |         | -207 546           | -209 594               | 6.8 %         |
| 31.12.1999   |                            |          |         |         | -221 680           | -223 867               | 5.7 %         |
| 31.12.2000   |                            |          |         |         | -234 285           | -236 596               | 7.1 %         |
| 31.12.2001   |                            |          |         |         | <b>-250 895</b>    | <b>-253 371</b>        |               |

Source: Moe 2004.

## Appendix E: Sparebanken NOR

Table 8: Sparebanken NOR

| Payment date | In NOK 1000                                    | No. SBIF | NOK per PCC | Cashflow   | Cum. present value | Only outgoing payments | Discount rate |
|--------------|------------------------------------------------|----------|-------------|------------|--------------------|------------------------|---------------|
| 30.06.1992   | Convertible subord. loan                       |          |             | -1 000 000 | -1 000 000         | -1 000 000             | 14.3 %        |
| 30.06.1992   | Interest subord. loan                          |          |             | 73 189     | -926 811           | -1 000 000             | 14.3 %        |
| 30.06.1993   | Loan converted to primary capital certificates | 10 000   | 100.00      | 0          | -1 059 345         | -1 143 000             | 9.3 %         |
| 01.01.1994   |                                                | 10 000   |             | 0          | -1 107 927         | -1 195 419             | 10.2 %        |
| 30.06.1994   | Dividends received                             |          | 18.00       | 180 000    | -982 026           | -1 253 790             | 10.2 %        |
| 30.06.1995   | Dividends received                             |          | 15.00       | 150 000    | -931 702           | -1 381 050             | 9.2 %         |
| 31.12.1995   |                                                |          |             |            | -973 970           | -1 443 702             | 9.2 %         |
| 15.04.1996   | Primary capital certificates sold              | -10 000  | 176.00      | 1 760 000  | 760 815            | -1 481 078             | 8.1 %         |
| 15.04.1996   | Costs assoc. with sale                         |          |             | -58 000    | 702 815            | -1 481 078             | 8.1 %         |
| 31.12.1996   |                                                |          |             |            | 742 665            | -1 565 056             | 4.1 %         |
| 31.12.1997   |                                                |          |             |            | 772 743            | -1 628 441             | 4.1 %         |
| 31.12.1998   |                                                |          |             |            | 804 735            | -1 695 858             | 6.8 %         |
| 31.12.1999   |                                                |          |             |            | 859 537            | -1 811 346             | 5.7 %         |
| 31.12.2000   |                                                |          |             |            | 908 410            | -1 914 339             | 7.1 %         |
| 31.12.2001   |                                                |          |             |            | <b>972 817</b>     | <b>-2 050 065</b>      | 5.9 %         |

The last line in the table shows a total present value of almost NOK 1 billion at the end of 2001.

Source: Moe 2004.

## Appendix F: Timeline of Major Events

**1988:** Failure of Sunnmørsbanken; CBGF guarantee of its commitments, and Norges Bank liquidity support (Moe 2004).

**November 1988:** Sparebanken Nord and Tromsø Sparebank insolvent.

**July 1989:** Sparebanken Nord and Tromsø Sparebank merge to make Sparebanken Nord-Norge; get NOK 1.5 billion loan from Norges Bank.

**October 1989:** Norion Bank fails; CBGF guarantees only nonbank deposits; Norges Bank loses on its loans and provides a new liquidity loan that CBGF guarantees.

**January 1990:** Sunnmørsbanken merges with Christiania Bank.

**Late 1990:** Fokus Bank gets NOK 1.5 billion guarantee from CBGF.

**1989-1990:** SBGF disburses NOK 1.9 billion (1% total assets of savings banks) in nine banks, and guarantees of NOK 1.2 billion; CBGF makes NOK 1.4 billion of provisions to Sunnmørsbanken and Norion Bank and agrees to make capital injections on a case-by-case basis up to NOK 2 billion amongst all member banks (Moe 2004).

**January 25, 1991:** Proposal to establish the GBIF.

**March 15, 1991:** GBIF is established with capital of NOK 5 billion.

**June 17, 1991:** CBGF approves injection of preferred capital to Den norske Bank, Christiania Bank, and Smvirkebanken NOK 1.6 billion.

**Late June 1991:** Equity guarantee of NOK 1.5 billion in Fokus Bank replaced with NOK 1.5 billion in preferred shares.

**June 28, 1991:** CBGF offered NOK 1 billion of preferred shares; distributed only to Samvirkebanken, though other banks also applied for support: NOK 196 million was allocated.

**August 1991:** GBIF provides support loans to the CBGF for preferred share capital injections to Christiania Bank and Fokus Bank, respectively.

**October 1991:** GBIF gives SBGF two loans of NOK 160 million each to buy primary capital certificates in Sparebanken Rogaland and Sparebanken Midt-Norge.

**October 1991:** The Storting establishes the SBIF with NOK 4.5 billion; allocates an additional NOK 6 billion to GBIF, proposes subsidized deposits from Norges Bank, reduced premium payments to two guarantee funds, appropriates NOK 1 billion to the SBGF, and reduces liquidity requirements for banks.

**November 29, 1991:** The Storting allows the GBIF to directly purchase shares, primary capital certificates and other equity capital instruments, and allows the King in Council to write down bank shares (Moe 2004).

**December 20, 1991:** Share capital of Christiania Bank and Fokus Bank are written down to zero and GBIF purchases share capital in both banks, becoming their sole owner.

**1991:** SBIF investment of 19.6% in new shares in Oslobanken; SBIF investment of 32.2% in new shares in Samvirkebanken.

**Spring 1992:** GBIF offers former shareholders of Christiania Bank the option to purchase 25% of shares; 2.3% were repurchased; SBIF and investors underwrite preferred shares in Den norske Bank—SBIF owns 55.6% of shares.

**Spring/Summer 1992:** GBIF makes three loans of NOK 219 million to SBGF to fund capital injections to Sparebanken Rogaland and Sparebanken Midt-Norge, as well as a NOK 15 million loan to cover deficit in Hof Sparebank and the SBGF's guarantee liability in Hedmark Sparebanken.

**Late 1992:** GBIF injects NOK 4 billion to Fokus, Den norske, and Christiania banks to help them achieve capital adequacy ratios; NOK 1.5 billion of this was SBIF injections.

**Late 1992:** Den norske share capital, CBGF preferred shares, and low-ranking GBIF preferred shares written down to zero; Christiania shares written down from NOK 25 to

NOK 7, Fokus Bank CBGF preferred shares written down to zero, and share par value written down NOK 25 to NOK 11 (Moe 2004).

**1992:** SBIF invests NOK 1 billion of convertible subordinated debt in Union Bank of Norway and NOK 700 million in Sparebanken Vest and NOK 25.6 million in Sparebanken Møre.

**April 1993:** Oslobanken applies for GBIF funding—GBIF says no but injects share capital to help liquidate the bank.

**December 1993:** Christiania Bank raises NOK 2 billion of private share capital—government stake reduced to 68.9%; GBIF converts preferred shares in Den norske Bank to shares making GBIF majority owner of 87.5%.

**1993:** GBIF provides conditional capital of NOK 20 million of shares to help facilitate the merger of Fokus Bank and Samvirkebanken; SBIF converts subordinated debt in Sparebanken NOR to shares, owning 48% of the bank in 1993; GBIF writes down all shares of Oslobanken and becomes its sole owner.

**Late 1993:** New agreement between GBIF and Christiania bank that ended the obligation of the bank to report to the GBIF, and the GBIF ability to impose new requirements, as soon as the bank achieved its capital ratio and the CBGF achieved its minimum size to serve as the safety net for the industry.

**Early 1994:** New agreement between GBIF and Den norske Bank.

**May/June 1994:** NOK 1 billion of GBIF Den norske shares and NOK 1 billion of new Den norske shares sold in market—government ownership down to 72%.

**Spring 1994:** SBGF sells primary capital certificates in Sparebanken Rogaland, Sparebanken Midt-Norge, and Sparebanken Nord-Norge above par and repays all its debt to GBIF with NOK 2 billion remaining. End of savings-bank sector obligations to GBIF.

**Spring 1995:** New agreement between GBIF and Fokus Bank.

**1994-1995:** GBIF transfers ownership of banks to the SBIF but keeps 16.2% of Den norske Bank.

**1995:** GBIF sells Fokus Bank to Danske Bank; CBGF repays all its loans obligations to GBIF.

**1996:** GBIF sells Christiania Bank shares to SBIF and market.

**2000:** GBIF liquidates Oslobanken completely; SBIF sells its shares in Christiania Bank to Merita Nordbanken.

**2001:** GBIF sells 104 million shares or 13% of Den norske Bank into the open market.

**2002:** GBIF abolished.

**2003:** Den norske Bank merges with Union Bank of Norway to form DnB NOR. SBIF 47.8% share of Den norske becomes 28.1% of DnB NOR.

**2004:** SBIF terminated; shares in DnB NOR transferred to Ministry of Trade and Industry.

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